

Q 80: Consumers feel shy to make the same purchase in some public sense. Marketers facilitate their purchase information to be private or confidential. Which of the following characteristics best explains consumer motivation in this practice?

- A.** Consumers have a thirst for variety.
- B.** Consumers have hidden motives.
- C.** Consumers desire order in the world.
- D.** Consumers' motivations are valence.

Q 80: Answer: B. Consumers have hidden motives.

Explanation:

The scenario describes a situation where consumers are motivated by a desire for privacy and discretion in their purchasing decisions. This suggests a hidden motive, as consumers may not openly express their desire to avoid social judgment or embarrassment related to their purchases.

- **A. Consumers have a thirst for variety:** This characteristic relates to a desire for new experiences and products, not necessarily a concern for privacy.
- **C. Consumers desire order in the world:** This characteristic relates to a preference for structure and predictability, not directly related to the scenario.
- **D. Consumers' motivations are valence:** Valence refers to the positive or negative nature of a motivation. While privacy can be a positive motivation, it doesn't specifically explain the consumer's desire for confidentiality in this context.

Q 80: General Topic: Consumer Behaviour

Consumer behaviour explores the processes involved when individuals or groups select, purchase, use, or dispose of products, services, ideas, or experiences to satisfy needs and desires. It encompasses a wide range of factors influencing consumer decisions, including personal, social, cultural, and psychological influences.

Slides:

Slide 1: Motivations and Needs

- **Motivations:** Internal states that drive consumers to satisfy needs and wants.
- **Needs:** States of felt deprivation, such as physiological needs (food, water, shelter), safety needs (security, protection), social needs (belonging, love), esteem needs (self-esteem, recognition), and self-actualization needs (personal growth, fulfillment).
- **Wants:** Specific desires that are shaped by culture and personality.
- **Hidden Motives:** Underlying reasons for consumer behaviour that may not be explicitly stated or consciously recognized.

Slide 2: Social and Cultural Influences

- **Social Factors:** Groups, family, social roles, and status that influence consumer behaviour.
- **Cultural Factors:** Culture, subculture, and social class that shape consumer values, beliefs, and behaviours.
- **Reference Groups:** Groups that consumers identify with and whose opinions they value.
- **Opinion Leaders:** Individuals who have significant influence on the opinions and behaviours of others.

Slide 3: Psychological Influences

- **Perception:** The process by which consumers select, organize, and interpret information.
- **Learning:** Changes in consumer behaviour based on experience.
- **Attitude:** A learned predisposition to respond to an object or idea in a consistently favourable or unfavourable way.
- **Personality:** The unique psychological characteristics that influence consumer behaviour.
- **Lifestyle:** A person's pattern of living as expressed in their activities, interests, and opinions.

Q 81: Which of the following cannot be an instance for a diversification strategy?

- A. A furniture company enters into the real estate business.
- B. A painting factory acquires a hospital.
- C. A bakery starts a pastry business.
- D. A food processing company enters into computer maintenance business.

Q 81: Answer: B. A painting factory acquires a hospital.

Explanation:

Diversification strategy involves expanding into new product markets or industries that are unrelated to the company's existing core business. While options A, C, and D represent diversification, option B is a clear mismatch. A painting factory and a hospital operate in completely different industries with no logical connection or synergy.

- **A. A furniture company enters into the real estate business:** This represents diversification as the furniture company expands into a new industry (real estate) that is unrelated to its core business.
- **C. A bakery starts a pastry business:** This represents diversification as the bakery expands into a new product line (pastry) within the same general industry (food).
- **D. A food processing company enters into computer maintenance business:** This represents diversification as the food processing company expands into a completely different industry (technology) that is unrelated to its core business.

Q 81: General Topic: Strategic Marketing

Strategic marketing involves developing a long-term plan for achieving marketing objectives. It considers the company's overall business strategy, competitive environment, target market, and marketing mix (product, price, place, promotion).

Slides:

Slide 1: Diversification Strategy

- **Definition:** A growth strategy that involves expanding into new product markets or industries that are unrelated to the company's existing core business.
- **Types of Diversification:**
 - **Concentric Diversification:** Expanding into new product markets that are related to the company's existing products or technologies.
 - **Horizontal Diversification:** Expanding into new product markets that are unrelated to the company's existing products or technologies.
 - **Conglomerate Diversification:** Expanding into completely different industries that have no relation to the company's existing products or technologies.
- **Benefits of Diversification:**

- **Reduced Risk:** Spreading investments across multiple industries can reduce the impact of economic downturns or changes in consumer preferences.
- **Growth Opportunities:** Expanding into new markets can create new revenue streams and drive growth.
- **Competitive Advantage:** Diversification can help companies gain a competitive advantage by offering a wider range of products or services.

Slide 2: Evaluating Diversification Opportunities

- **Market Attractiveness:** Assessing the size, growth potential, and profitability of the new market.
- **Company Resources and Capabilities:** Evaluating the company's resources and capabilities to compete in the new market.
- **Competitive Advantage:** Determining whether the company can achieve a sustainable competitive advantage in the new market.
- **Financial Resources:** Assessing the financial resources required to enter the new market.

Slide 3: Implementation of Diversification Strategy

- **Acquisition:** Acquiring existing companies in the new market.
- **Internal Development:** Developing new products or services internally.
- **Joint Ventures:** Partnering with other companies to enter the new market.
- **Strategic Alliances:** Collaborating with other companies to share resources and expertise.

Q 82: Identify the wrong statement regarding the characteristics of strategic management.

- A. It is proactive.
- B. It is long-term oriented.
- C. It is external market-oriented.
- D. It assumes the future as a duplication.

Q 82: Answer: D. It assumes the future as a duplication.

Explanation:

Strategic management is a dynamic process that involves adapting to changing circumstances and anticipating future trends. It does not assume the future will be a mere repetition of the past.

- **A. It is proactive:** Strategic management involves anticipating changes and taking action to shape the future, rather than reacting to events.
- **B. It is long-term oriented:** Strategic management focuses on achieving long-term goals and objectives, considering the company's future direction and sustainability.
- **C. It is external market-oriented:** Strategic management recognizes the importance of understanding the external environment, including competitors, customers, and market trends.

Q 82: General Topic: Strategic Management

Strategic management is a process that involves setting organizational goals, analyzing the competitive environment, formulating strategies, implementing those strategies, and evaluating their effectiveness. It is a continuous process that requires ongoing monitoring and adaptation.

Slides:

Slide 1: Key Elements of Strategic Management

- **Vision and Mission:** Defining the company's long-term goals and purpose.
- **Environmental Analysis:** Assessing the external and internal environments, including competitors, customers, market trends, and company resources.
- **Strategy Formulation:** Developing a plan to achieve the company's goals, considering competitive advantages, market opportunities, and resource allocation.
- **Strategy Implementation:** Putting the plan into action, including organizational structure, leadership, and resource allocation.
- **Strategy Evaluation:** Monitoring the effectiveness of the strategies and making adjustments as needed.

Slide 2: Levels of Strategy

- **Corporate Strategy:** Defining the overall direction of the company, including its business portfolio, growth strategies, and resource allocation.
- **Business Strategy:** Developing competitive advantages and positioning the company within a specific industry or market.
- **Functional Strategy:** Developing strategies for specific functional areas, such as marketing, finance, operations, and human resources.

Slide 3: Benefits of Strategic Management

- **Improved Performance:** Strategic management helps companies to improve their performance by aligning resources and efforts towards achieving common goals.
- **Enhanced Competitiveness:** Strategic management helps companies to develop competitive advantages and respond effectively to market challenges.
- **Increased Innovation:** Strategic management encourages innovation and creativity by focusing on long-term goals and opportunities.
- **Enhanced Communication:** Strategic management promotes clear communication and understanding of the company's goals and direction.

Q 83: Building personal relationships with customers, such as a health club and restaurant manager knowing her customers personally, a private school principal knowing the student parents, and a bank manager knowing the business customers and financing history and requirements, helps to provide:

- A. Social benefits
- B. Financial benefits
- C. Special treatment
- D. Confidence benefit

Q 83: Answer: D. Confidence benefit

Explanation:

Building personal relationships with customers fosters trust and confidence. When customers feel known and understood, they are more likely to feel comfortable and confident in their interactions with the business. This is especially true in situations like those described, where personal information and financial details are involved.

- **A. Social benefits:** While personal relationships can lead to social interactions, the primary benefit in this context is not social but rather a sense of security and trust.

- **B. Financial benefits:** While strong relationships can lead to increased loyalty and potentially higher financial gains, the direct benefit here is not financial but rather the feeling of confidence.
- **C. Special treatment:** While personal relationships can sometimes lead to special treatment, this is not the primary benefit in this context. The focus is on building trust and confidence, not preferential treatment.

Q 83: General Topic: Services Marketing

Services marketing focuses on the unique characteristics of services, including intangibility, heterogeneity, perishability, and inseparability. It emphasizes the importance of customer relationships, service quality, and customer satisfaction.

Slides:

Slide 1: Customer Relationship Management (CRM)

- **Definition:** A strategy for managing customer relationships to improve customer satisfaction, loyalty, and profitability.
- **Key Elements:**
 - **Customer Data Management:** Collecting, storing, and analyzing customer data to understand their needs and preferences.
 - **Customer Interaction Management:** Managing interactions with customers through various channels, such as phone, email, and social media.
 - **Customer Service:** Providing excellent customer service to meet customer needs and resolve issues.
 - **Customer Loyalty Programs:** Rewarding loyal customers for their business.

Slide 2: Building Customer Relationships

- **Personalization:** Tailoring products and services to meet individual customer needs.
- **Communication:** Maintaining regular communication with customers to build rapport and trust.
- **Empathy:** Understanding and responding to customer emotions and concerns.
- **Problem Solving:** Proactively identifying and resolving customer issues.
- **Loyalty Programs:** Rewarding loyal customers for their business.

Slide 3: Benefits of Customer Relationships

- **Increased Customer Loyalty:** Customers are more likely to stay with a business that they trust and feel valued.
- **Higher Customer Retention:** Building strong relationships can reduce customer churn and increase customer lifetime value.
- **Improved Customer Satisfaction:** Customers are more likely to be satisfied with a business that understands their needs and provides excellent service.
- **Increased Profitability:** Loyal customers are more likely to spend more and refer new customers, leading to increased profitability.

Q 84: Identify the program multiplier that does not belong to marketing program investment.

- A. Relevance
- B. Clarity
- C. Consistency
- D. Redundancy

Q 84: Answer: D. Redundancy

Explanation:

Program multipliers are factors that amplify the impact of marketing investments. Relevance, clarity, and consistency all contribute to a stronger marketing program. Redundancy, however, is detrimental, as it indicates unnecessary repetition or duplication of efforts, wasting resources and potentially confusing the target audience.

- **A. Relevance:** Relevance ensures that the marketing program addresses the specific needs and interests of the target audience.
- **B. Clarity:** Clarity ensures that the marketing message is clear, concise, and easy to understand.
- **C. Consistency:** Consistency ensures that the marketing message is consistent across all channels and touchpoints.

Q 84: General Topic: Integrated Marketing Communications (IMC)

IMC is a strategic approach to marketing communications that involves coordinating all marketing communication tools, channels, and sources within a company into a seamless program. It aims to maximize the impact on consumers and end-users at a minimal cost.

Slides:

Slide 1: Key Elements of IMC

- **Customer Focus:** Understanding the target audience and their needs, preferences, and communication channels.
- **Integrated Message:** Developing a consistent and unified message across all marketing communication channels.
- **Cross-Functional Collaboration:** Involving all relevant departments and stakeholders in the marketing communication process.
- **Data-Driven Decision Making:** Using data and analytics to measure the effectiveness of marketing communication campaigns.

Slide 2: Benefits of IMC

- **Increased Efficiency:** Coordinating marketing communication efforts can reduce duplication and waste.
- **Enhanced Effectiveness:** A unified message across all channels can increase the impact of marketing communication campaigns.
- **Improved Customer Relationships:** Consistent communication and a unified message can build trust and loyalty with customers.
- **Increased Profitability:** Effective IMC can drive sales and profitability by reaching the right customers with the right message at the right time.

Slide 3: IMC Tools and Techniques

- **Advertising:** Paid communication through various media channels, such as television, radio, print, and online.
- **Public Relations:** Building relationships with the media and other stakeholders to generate positive publicity.
- **Sales Promotion:** Short-term incentives to encourage immediate purchase, such as discounts, coupons, and contests.
- **Direct Marketing:** Communicating directly with customers through mail, email, or telephone.

- **Event Marketing:** Creating and participating in events to promote products or services.
- **Digital Marketing:** Using online channels to reach and engage customers, such as search engine optimization (SEO), social media marketing, and email marketing.

Q 85: A poultry brand named "Kukullu" using the image of a fancy chicken is applying secondary brand association through:

- A. Character
- B. Country of origin
- C. Event
- D. Licensing

Q 85: Answer: A. Character

Explanation:

Secondary brand association refers to leveraging associations with other entities to enhance brand image and appeal. In this case, "Kukullu" uses a fancy chicken character to create a positive association with its brand. This character serves as a visual representation of the brand, potentially conveying qualities like quality, taste, or even a sense of fun and whimsy.

- **B. Country of origin:** This association relies on the reputation of a specific country for a particular product or industry.
- **C. Event:** This association involves associating the brand with a specific event or occasion.
- **D. Licensing:** This involves using licensed characters, trademarks, or other intellectual property to create brand associations.

Q 85: General Topic: Branding

Branding involves creating a unique identity for a product, service, or company to differentiate it from competitors and build customer loyalty. It encompasses various elements, including brand name, logo, tagline, packaging, and brand personality.

Slides:

Slide 1: Brand Association

- **Definition:** The connections and meanings that consumers associate with a brand.
- **Types of Brand Association:**
 - **Primary Brand Association:** Associations directly related to the product or service itself, such as quality, features, and benefits.
 - **Secondary Brand Association:** Associations with other entities, such as celebrities, events, or characters.
 - **Tertiary Brand Association:** Associations with broader concepts, such as values, lifestyles, or emotions.

Slide 2: Building Brand Associations

- **Brand Storytelling:** Creating narratives and stories that connect with consumers on an emotional level.
- **Brand Experiences:** Creating memorable experiences that reinforce brand associations.
- **Brand Partnerships:** Collaborating with other brands or organizations to create shared associations.

- **Brand Communication:** Consistently communicating brand messages across all channels.

Slide 3: Benefits of Strong Brand Associations

- **Increased Brand Recognition:** Strong brand associations make it easier for consumers to recognize and remember a brand.
- **Enhanced Brand Loyalty:** Positive brand associations foster customer loyalty and repeat purchases.
- **Improved Brand Equity:** Strong brand associations contribute to a high brand equity, which can command premium pricing and attract investors.

Q 86: When a TV commercial interrupts a person while he is watching a football game, the commercial is said to be causing:

- A. Involuntary attention
- B. Planned attention
- C. Spontaneous attention
- D. No attention

Q 86: Answer: A. Involuntary attention

Explanation:

Involuntary attention occurs when a stimulus, such as a TV commercial, captures a person's attention without any conscious effort. The interruption of the football game creates a sudden change in the viewer's focus, forcing them to involuntarily attend to the commercial.

- **B. Planned attention:** This refers to consciously directing attention to a specific stimulus, which is not the case here.
- **C. Spontaneous attention:** This occurs when a stimulus naturally attracts attention due to its inherent interest or novelty. While the commercial might be interesting, the primary factor is the interruption.
- **D. No attention:** The interruption itself indicates that the viewer is paying some attention, even if it's involuntary.)

Q 86: General Topic: Consumer Behavior

Consumer behavior explores the processes involved when individuals or groups select, purchase, use, or dispose of products, services, ideas, or experiences to satisfy needs and desires. It encompasses a wide range of factors influencing consumer decisions, including personal, social, cultural, and psychological influences.

Slides:

Slide 1: Attention

- **Definition:** The process of focusing cognitive resources on a specific stimulus.
- **Types of Attention:**
 - **Involuntary Attention:** Attention that is captured by a stimulus without any conscious effort.
 - **Voluntary Attention:** Attention that is consciously directed to a specific stimulus.
 - **Spontaneous Attention:** Attention that is naturally attracted to a stimulus due to its inherent interest or novelty.

Slide 2: Factors Influencing Attention

- **Stimulus Characteristics:** The size, color, intensity, movement, and novelty of a stimulus can influence attention.
- **Individual Factors:** Factors such as motivation, interest, and prior knowledge can influence attention.
- **Situational Factors:** The context in which a stimulus is presented can influence attention.

Slide 3: Marketing Implications of Attention

- **Capturing Attention:** Marketers use various techniques to capture consumer attention, such as using vivid imagery, strong headlines, and unexpected stimuli.
- **Maintaining Attention:** Marketers need to maintain consumer attention over time by providing engaging content and delivering on promises.
- **Measuring Attention:** Marketers use various metrics to measure consumer attention, such as website traffic, engagement rates, and click-through rates.

Q 87: Which of the following is correct?

- A. A speculator with a bearish view will buy commodities in the market.
- B. A speculator with a bullish market view will take a short position in the market.
- C. A speculator with a bearish view will take a long position in the market.
- D. A speculator with a bullish market view will take a long position in the market.

Q 87: Answer: D. A speculator with a bullish market view will take a long position in the market.

Explanation:

- **Bullish market view:** A speculator with a bullish view believes the market will rise. They will take a **long position** by buying assets (commodities in this case) with the expectation of selling them at a higher price in the future, profiting from the price increase.
- **Bearish market view:** A speculator with a bearish view believes the market will fall. They will take a **short position** by borrowing assets and selling them immediately, hoping to buy them back at a lower price later and return them to the lender, pocketing the price difference.

Q 87: General Topic: Financial Markets

Financial markets are platforms where buyers and sellers trade financial instruments such as stocks, bonds, commodities, and currencies. Speculators are market participants who aim to profit from price fluctuations, taking calculated risks based on their market outlook.

Slides:

Slide 1: Speculation in Financial Markets

- **Definition:** The act of buying or selling assets with the expectation of profiting from price fluctuations.
- **Types of Speculators:**
 - **Bullish Speculators:** Believe the market will rise and take long positions.
 - **Bearish Speculators:** Believe the market will fall and take short positions.
- **Risks of Speculation:**
 - **Market Volatility:** Price fluctuations can lead to significant losses.
 - **Leverage:** Using borrowed funds to amplify returns can also amplify losses.
 - **Liquidity Risk:** Difficulty in selling assets quickly at the desired price.

Slide 2: Long and Short Positions

- **Long Position:** Buying an asset with the expectation of selling it at a higher price in the future.
- **Short Position:** Borrowing an asset and selling it immediately, hoping to buy it back at a lower price later and return it to the lender.

Slide 3: Market Outlook and Trading Strategies

- **Bullish Market:** A market characterized by rising prices and investor optimism.
- **Bearish Market:** A market characterized by falling prices and investor pessimism.
- **Trading Strategies:** Speculators use various trading strategies based on their market outlook, including technical analysis, fundamental analysis, and sentiment analysis.

Q 88: A car assembly company in Ethiopia advertises the benefits of the newly assembled automobiles in terms of its fuel consumption, availability of spare parts, after-sales service, and fair price value proposition. What type of advertising appeal used by the company?

- A. Fear appeal
- B. Rational appeal
- C. Emotional appeal
- D. Information appeal

Q 88: Answer: B. Rational appeal

Explanation:

The company focuses on presenting logical and practical benefits of their cars, emphasizing fuel efficiency, service support, and value for money. This approach relies on reason and logic, making it a rational appeal.

- **A. Fear appeal:** This uses fear or anxiety to motivate consumers, which is not present in this scenario.
- **C. Emotional appeal:** This focuses on evoking emotions, such as happiness, nostalgia, or patriotism, which is not the primary focus here.
- **D. Information appeal:** While the advertisement provides information, it primarily uses a rational approach to convince consumers, not simply to inform them.

Q 88: General Topic: Integrated Marketing Communications (IMC)

IMC is a strategic approach to marketing communications that involves coordinating all marketing communication tools, channels, and sources within a company into a seamless program. It aims to maximize the impact on consumers and end-users at a minimal cost.

Slides:

Slide 1: Advertising Appeals

- **Definition:** The strategy used to attract consumer attention and influence their attitudes and behaviors.
- **Types of Advertising Appeals:**
 - **Rational Appeals:** Focus on logic, reason, and practicality.
 - **Emotional Appeals:** Focus on evoking emotions, such as happiness, fear, or nostalgia.
 - **Fear Appeals:** Use fear or anxiety to motivate consumers.
 - **Humor Appeals:** Use humor to attract attention and create a positive association with the brand.

- **Sex Appeals:** Use sexual imagery or suggestiveness to attract attention.

Slide 2: Choosing the Right Advertising Appeal

- **Target Audience:** The appeal should be relevant to the target audience's needs, values, and lifestyles.
- **Product or Service:** The appeal should be consistent with the product or service's attributes and benefits.
- **Marketing Objectives:** The appeal should support the marketing objectives, such as increasing awareness, generating leads, or driving sales.

Slide 3: Effective Use of Advertising Appeals

- **Credibility:** The appeal should be believable and credible.
- **Relevance:** The appeal should be relevant to the target audience's needs and interests.
- **Uniqueness:** The appeal should stand out from competitors and be memorable.
- **Ethical Considerations:** Marketers should use advertising appeals ethically and responsibly.

Q 89: Given the following linear equation $y = a + bx$, where x is the result of an aptitude test and y is the job performance, then the aptitude test has:

- A. A positive effect on job performance
- B. A neutral effect on job performance
- C. A negative effect on job performance
- D. An unknown effect on job performance

Q 89: Answer: D. An unknown effect on job performance

Explanation:

The linear equation $y = a + bx$ represents a relationship between the aptitude test score (x) and job performance (y). However, without knowing the values of ' a ' and ' b ', we cannot determine the nature of the relationship.

- **Positive effect:** If ' b ' is positive, a higher aptitude test score (x) would lead to higher job performance (y).
- **Negative effect:** If ' b ' is negative, a higher aptitude test score (x) would lead to lower job performance (y).
- **Neutral effect:** If ' b ' is zero, the aptitude test score (x) would have no impact on job performance (y).

Q 89: General Topic: Statistical Analysis

Statistical analysis involves collecting, organizing, analyzing, and interpreting data to draw conclusions and make informed decisions. It uses various techniques, including regression analysis, to model relationships between variables.

Slides:

Slide 1: Linear Regression Analysis

- **Definition:** A statistical technique used to model the relationship between a dependent variable (y) and one or more independent variables (x).
- **Linear Equation:** $y = a + bx$, where ' a ' is the intercept and ' b ' is the slope.
- **Interpretation:**
 - **Intercept (a):** The value of y when x is zero.
 - **Slope (b):** The change in y for every unit change in x .

Slide 2: Interpreting Regression Results

- **Significance of the Slope:** A statistically significant slope indicates that there is a relationship between the variables.
- **Direction of the Relationship:** A positive slope indicates a positive relationship, while a negative slope indicates a negative relationship.
- **Strength of the Relationship:** The magnitude of the slope indicates the strength of the relationship. A larger magnitude indicates a stronger relationship.

Slide 3: Applications of Regression Analysis

- **Predicting Outcomes:** Regression analysis can be used to predict the value of a dependent variable based on the values of independent variables.
- **Identifying Relationships:** Regression analysis can be used to identify the relationships between variables and understand how they influence each other.
- **Decision Making:** Regression analysis can be used to support decision-making by providing insights into the potential outcomes of different actions.